

Member ID: _____

Time: _____

Rank: _____



ADVANCED ACCOUNTING (115)

NATIONAL 2025

Multiple Choice (25 @ 2 points each) _____ (50 points)

Short Answers (28 @ 2 points each) _____ (56 points)

Problems:

Job 1—Journalizing Bond Transactions (*1 point each*) _____ (40 points)

Job 2—Allocating Indirect Expenses (*1 point each*) _____ (66 points)

TOTAL POINTS _____ (212 points)

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 90 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE (2 points each)

Identify the letter of the choice that best completes the statement or answers the question.

1. A company purchases a new truck for \$35,000. The truck has a useful life of six years and a \$5,000 salvage value. Using the sum-of-years digit method of depreciation, the depreciation expense for year two of the asset's useful life will be _____.
 - A. \$5,000.00
 - B. \$7,142.86
 - C. \$8,333.33
 - D. \$8,571.43
2. The statement that shows changes from operating, financial, and investing activities is _____.
 - A. Statement of Cash Flows
 - B. Statement of Stockholders' Equity
 - C. Income Statement
 - D. Balance Statement
3. Which financial statement shows the progress of the business over a period of time?
 - A. Statement of Cash Flows
 - B. Statement of Stockholders' Equity
 - C. Income Statement
 - D. Balance Statement
4. In periods of rising prices, which inventory method will result in a higher gross profit?
 - A. FIFO
 - B. LIFO
 - C. Weighted average
 - D. Income average
5. The law that regulates minimum wage, overtime, and child labor is the _____.
 - A. Sarbanes-Oxley Act
 - B. Wage Regulation Act
 - C. Fair Labor Standards Act
 - D. Federal Insurance Contributions Act
6. A company has total assets of \$160,000, current assets of \$55,000, total liabilities of \$105,000, and current liabilities of \$40,000. The company's working capital is _____.
 - A. \$15,000
 - B. \$55,000
 - C. \$65,000
 - D. \$120,000

7. The rate of return on sales is a measure of _____.
A. financial strength
B. liquidity
C. profitability
D. book value
8. Expenses that are closely related to a particular department and can easily be assigned to it during an accounting period are called _____.
A. Operating expenses
B. Indirect expenses
C. Allocated expenses
D. Direct expenses
9. The procedure for assigning indirect expenses to departments at the end of an accounting period is called _____.
A. Valuation
B. Authorization
C. Allocation
D. Distribution
10. The balance of accounts receivable less the allowance for uncollectible accounts is the formula for calculating _____.
A. uncollectible accounts expense
B. book value of accounts receivable
C. the contra account balance to accounts receivable
D. total collections of previously written-off accounts
11. Some examples of long-term assets are _____.
A. supplies, truck, and delivery equipment
B. supplies, prepaid insurance, and building
C. cash, delivery truck, and equipment
D. office equipment, land, and delivery truck
12. Once the financial statements have been prepared, the steps in the accounting cycle are complete. Which of the following is *not* one of the steps in the accounting cycle?
A. Adjusting entries
B. Closing Trial Balance
C. Post-Closing Trial Balance
D. Closing entries
13. Which of the following accounts is *not* closed at the end of the fiscal period?
A. Sales
B. Accounts Receivable
C. Depreciation Expense
D. All of the accounts listed above are closed

14. The current ratio is calculated by _____.
A. dividing current assets by current liabilities
B. dividing current liabilities by current assets
C. dividing total assets by total current assets
D. dividing current assets by total assets
15. In order to ensure that they are meaningful and useful, financial statements should be prepared _____.
A. in accordance with Section 108 of the Sarbanes-Oxley Act
B. on a daily basis
C. on a timely basis
D. using generally accepted accounting principles (GAAP)
16. The adjusting entry to record estimated losses from uncollectible accounts consists of a debit to _____.
A. Uncollectible Accounts Expense and a credit to Accounts Receivable
B. Uncollectible Accounts Expense and a credit to Allowance for Doubtful Accounts
C. Allowance for Doubtful Accounts and a credit to Accounts Receivable
D. Accounts Receivable and a credit to Allowance for Doubtful Accounts
17. How much interest will accrue on a \$40,000 face value, 60-day note that bears interest at 9 percent a year?
A. \$591.78
B. \$600.00
C. \$1,800.00
D. \$3,600.00
18. When a company issues a promissory note, the accountant records an entry that includes a credit to Note Payable for the _____.
A. face value of the note
B. face value of the note plus the interest that will accrue
C. face value less the interest that will accrue
D. maturity value of the note
19. A firm that sells a single product had a beginning inventory of 4,000 units with a total cost of \$16,000. During the fiscal year, 8,000 units were purchased at \$6 each. Using the LIFO inventory method, what is the value of the ending inventory of 2,000 units?
A. \$24,000
B. \$12,000
C. \$10,000
D. \$8,000

20. Organization costs should be _____.
A. treated as an operating expense when incurred
B. debited to an intangible asset account when incurred and systematically charged to expense over a period of up to 40 years
C. debited to an intangible asset account when incurred and carried at the original amount until the business ceases operations
D. debited to an intangible asset account when incurred and carried at the original amount until the business begins to earn a profit
21. The entry to record the issuance of 2,000 shares of \$10 par-value common stock for \$14 a share consists of a debit to Cash for \$28,000 and a credit to Common Stock for _____.
A. \$28,000
B. \$20,000 and a credit to Gain on Sale of Common Stock for \$8,000
C. \$20,000 and a credit to Treasury Stock for \$8,000
D. \$20,000 and a credit to Paid-in Capital in Excess of Par Value—Common Stock for \$8,000
22. An investor agrees to pay a preferred stock subscription in two monthly installments. Each collection will include a debit to Cash and a credit to _____.
A. Preferred Stock
B. Preferred Stock Subscribed
C. Subscriptions Receivable—Preferred
D. Common Stock Subscribed
23. With dividends the record date is the date _____.
A. on which the board of directors declares the dividend
B. used to determine who will receive the dividend
C. on which the dividend is paid
D. none of the above
24. Bonds issued at a premium are _____.
A. traded for stock
B. sold at face value
C. sold at less than face value
D. sold for more than face value
25. If market interest rates are higher than the rate offered on the bonds being sold, they will be sold at _____.
A. a premium
B. a discount
C. face value
D. a loss

SHORT ANSWER (3 points each answer)

1. After all revenue and expense accounts, other than Income Tax Expense, have been extended to the Income Statement section of the worksheet of Genie Corporation, the net income is determined to be \$300,000. Using the following corporate income tax rates, compute the corporation's federal income taxes payable.

<u>Taxable Income</u>	<u>Tax Rate</u>
First \$50,000	15 percent
Next \$25,000	25 percent
Next \$25,000	34 percent
Next \$235,000	39 percent
Over \$335,000	See IRS publication

2. The following financial information was taken from a firm's accounting records on December 31, 2022. Use this information to determine the items below.

Cash	\$ 40,000
Accounts Receivable (Net)	\$160,000
Merchandise Inventory	\$310,000
Property, Plant, and Equipment (Net)	\$400,000
Accounts Payable	\$120,000
Bonds Payable, 2026	\$100,000

- a. Working Capital _____
- b. Current Ratio _____
- c. Quick Ratio _____

3. The totals from the Bob's Company's Schedule of Accounts Receivable by Age as of the end of 2023 are shown below.

<u>Account</u>	<u>Balance</u>	<u>Current</u>	<u>1-30</u>	<u>31-60</u>	<u>Over 60</u>
Totals	\$11,800	\$8,800	\$1,500	\$600	\$900

As of the end of 2023, there is a debit balance of \$75 in the Allowance for Doubtful Accounts.

Compute the estimated uncollectible accounts using the following rates.

Current	1%
1-30 days past due	10%
31-60 days past due	25%
Over 60 days past due	50%

Compute the amount of the adjustment for uncollectible accounts expense and record the adjusting entry in the general journal below.

General Journal

Date	Description	Doc	Debit	Credit

4. On March 10, 2022, the West Company accepted a 60-day, 8-percent note from Randall Murphy in settlement of his past-due account for \$6,000. On April 9, West Company discounted the note at the Second National Bank. The bank charged a discount rate of 11 percent. Answer the following questions.
- What is the maturity date of the note? _____
 - What is the maturity value of the note? _____
 - How many days are in the discount period? _____
 - What is the amount of the discount? _____
 - What is the amount of the proceeds? _____

5. On March 8, 2022, the Handy Company purchased some office equipment for \$20,000. The equipment is expected to have a useful life of five years and a salvage value of \$2,000. Compute the depreciation for each of the first three years of the asset's life under the straight-line method, the double-declining-balance method, and the sum-of-the-years' digits method.

Year	Straight-line Method	Double-Declining-Balance Method	Sum-of-the-Years'-Digits Method
2022			
2023			
2024			

6. The Westerly Corporation has outstanding 20,000 shares of 12 percent, \$50 par-value, noncumulative, nonparticipating preferred stock and 80,000 shares of \$10 par-value common stock. The board of directors voted to distribute \$60,000 as dividends in 2023, \$140,000 in 2024, and \$200,000 in 2025.

Compute the following:

- | | |
|--|----------|
| a. Amount paid on each share of preferred stock in 2023. | a. _____ |
| b. Amount paid on each share of common stock in 2023. | b. _____ |
| c. Amount paid on each share of preferred stock in 2024. | c. _____ |
| d. Amount paid on each share of common stock in 2024. | d. _____ |
| e. Amount paid on each share of preferred stock in 2025. | e. _____ |
| f. Amount paid on each share of common stock in 2025. | f. _____ |

Job 1—Journalizing Bond Transactions

The Board of Directors of the Lucky Corporation authorized the issuance of \$500,000 face value of 10—year, 12 percent bonds dated May 1, 2022, and maturing on May 1, 2032. Interest is payable semiannually on May 1 and November 1. Record the following bond transactions in the General Journal provided. Omit descriptions.

2022

- May 1 Issued \$60,000 of bonds at face value.
- Nov 1 Paid the semiannual interest on the bonds issued.
- Dec 31 Record the adjusting entry for the accrued bond interest.
- 31 Close the Bond Interest Expense account into the Income Summary account.

2023

- Jan 1 Reversed the adjusting entry for accrued bond interest.
- May 1 Paid the semiannual interest on the bonds issued.
- 1 Issued \$50,000 of bonds at face value.
- Nov 1 Paid the semiannual interest on the bonds issued.
- Dec 31 Record the adjusting entry for the accrued bond interest.
- 31 Close the Bond Interest Expense account into the Income Summary account.

General Journal

[illegible]

Job 2—Allocating Indirect Expenses to Departments- *(worth 1 point each)*

Bamboo Solutions has two departments, General Merchandise and Furniture. The total indirect expenses by category are given as are the value of the Assets, Square Feet, and Sales for each department.

INDIRECT EXPENSES	TOTAL
Insurance Expense	\$32,000
Rent Expense	\$36,000
Utilities Expense	\$15,000
Office Salaries Expense	\$78,000
Other Office Expense	\$4,000
Uncollectible Accounts Expense	\$21,000

	GENERAL MERCHANDISE	FURNITURE
Equipment	\$50,000	\$65,000
Merchandise Inventory	\$170,000	\$215,000
Square Feet	14,000	18,000
Sales	\$420,000	\$500,000

INDIRECT EXPENSES	ALLOCATION BASIS	TOTAL
Insurance Expense	Value of Assets	\$32,000
Rent Expense	Square Feet	\$36,000
Utilities Expense	Square Feet	\$15,000
Office Salaries Expense	Sales	\$78,000
Other Office Expense	Sales	\$4,000
Uncollectible Accounts Expense	Sales	\$21,000

Based on the information given above, calculate the allocations for each of the indirect expenses given based on their logical basis. (Keep two decimals in every percentage calculation, 25.65% not 26%). Round final allocation amount to the nearest dollar.

Department	Basis: Assets	Percent	Insurance Expense	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Square Ft.	Percent	Rent Expense	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Square Ft.	Percent	Utilities Expense	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Sales	Percent	Office Salaries	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Sales	Percent	Other Office	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				
Department	Basis: Sales	Percent	Uncollectible Accounts	Allocation
Gen. Merchandise				
Furniture				
Combined Totals				